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**Felix Hermes** ✓Ph.D Student in Economics
Frankfurt, Hesse

European Central Bank

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Very interesting article. We made a related point and anticipated this in a paper we released last year and presented at the NBER Spring Meetings: "The Effects of QE and Regulation on the Structure of the Financial System." Our paper is about euro area, but the economics is similar.

We show that, over the past decade, euro-area insurers—traditionally major investors in long-term bonds—have substantially reduced their presence in long-term government bond markets. Their share of outstanding long-term government bonds fell by roughly 10 percentage points.

If the natural holders of long-term bonds have reduced their presence, someone else has to step in and fill the void...

Why did insurers retrench from long-term bonds?

Historically, European insurers offered long-term retirement policies with guarantees, making their role similar to that of pension funds in the US—hence the connection with the article.

These policies create long-duration liabilities that are naturally matched with long-duration bonds on the asset side. Long-term bonds are therefore insurers' "natural habitat," making them an important source of demand for long-term government debt.

We show that insurers' bond demand is fundamentally liability-driven.

Risk-based capital regulation and a prolonged period of very low long-term interest rates—also associated with QE—made guaranteed retirement products less attractive. As these liabilities declined, insurers' demand for long-term government bonds declined with them.

With rates now higher, demand for guaranteed products is recovering. But insurers' liabilities adjust slowly, and the recovery remains far below what would be needed to absorb the increase in the net supply of bonds to the private sector.

The broader point is that the past decade produced major structural changes in the financial system through the interaction of regulation and QE. While central banks were absorbing a large share of government bond issuance, these changes in the private investor base were less visible. A similar pattern occurred in the US.

As central banks withdraw, the resulting imbalances become much easier to see.

The paper is joint with Ciaran, Philippe and Stelios. We are about to release a revised draft.



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